

SAMPLE FIRM - CASE RESEARCH TEAM

Whitfield Family Trust Dispute

Case Summary Memorandum

PRACTICE AREA

Trusts & Estates - Fiduciary Duty

MATTER NO.

2026-PR-0562

STATUS

Active - research in progress

Parties

- Petitioners: Daniel Whitfield and Marta Whitfield-Coe, co-beneficiaries.
- Respondent: Gregory Whitfield, sole trustee of the Whitfield Family Trust and their brother.

Procedural Posture

Daniel and Marta petitioned the probate court to remove Gregory as trustee and to surcharge him for losses arising from a disputed property sale. Gregory has filed an opposition; a removal hearing is scheduled.

Statement of Facts

The Trust's primary asset was a commercial property. Without independent appraisal or notice to his co-beneficiaries, Gregory sold the property to an LLC in which he holds a 40% stake, at a price matching a single broker's opinion of value obtained by that same LLC. Gregory states the sale was necessary to cover the Trust's tax liability and that the price was fair. Daniel and Marta argue the undisclosed self-dealing and lack of independent valuation are disqualifying regardless of whether the price was ultimately fair.

Legal Issues Presented

1. Whether a trustee's self-dealing sale to an entity he partly owns is presumptively voidable regardless of good faith or price fairness, or whether a fair price cures the lack of disclosure.
2. Whether Gregory's contemporaneous documentation (or lack of it) of his rationale weighs in favor of or against removal, separate from the fairness of the outcome.

Relevant Authority

- Meinhard v. Salmon, 249 N.Y. 458 (1928) - a fiduciary owes "the punctilio of an honor the most sensitive" and must disclose and share opportunities rather than self-deal.
- Firm Memo - Fiduciary Duty Standards (internal) - self-dealing transactions are presumptively voidable regardless of good faith; courts weigh process, not just outcome.

Current Status

Removal hearing pending. Research is focused on whether an undisclosed, unappraised self-dealing sale can be cured after the fact by a fair price, and what process a trustee must follow when facing an inherent conflict of interest.